GRAY MEDIA INC GTN

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by JSTC

			2026	2027
Price:	4.00	EPS	0	0
Shares Out. (in M):	93	P/E	0	0
Market Cap (in $M):	450	P/FCF	0	0
Net Debt (in $M):	6,200	EBIT	0	0
TEV (in $M):	6,650	TEV/EBIT	0	0

Description

THESIS

I've written up GTN before from the credit side - the 7% '27s at 85 back in '23, which traded to par inside 18 months. On the equity, I've been consistently lukewarm: highest leverage in the group, capped out so they can't buy, and no obvious catalyst beyond grinding down debt. Most of that is still true. But at ~$4/sh, with $450mm of equity sitting on ~$6bn of net debt + pref, GTN has quietly become the most convex way in the space to own spectrum upside.   As a levered equity with still robust FCF, it is a long-term call option underpriced for the asset monetization opportunities ahead.   GTN equity is a long-dated call on low-band spectrum (potentially worth ~$500mm-$1bn in a future monetization) bolted onto a business doing >$250mm of FCF on a 2yr-avg basis. That FCF keeps the option alive long enough to collect.

OVERVIEW

GTN is a busted-looking equity - a $450mm stub on ~$5.8bn of debt, $650mm of pref, and $260mm of cash. Levered ~7.7x on debt+pref, the common creates the business at ~8x EBITDA. A thin sliver of equity on a ~$6.6bn TEV. Anything that moves EV - a spectrum sale, a leg down in leverage - moves the equity in multiples. A $500mm-1bn spectrum realization is a rounding error at the EV level and a double-plus at the equity.

Staying power. The knock on levered broadcasters is that the ice cube melts before you get paid. GTN's cash flow says otherwise. Pound-for-pound they have the best political footprint of any broadcaster - $497mm of political in '24, the most in the group on a per-TVHH basis - sitting on top of a ~$1.4-1.5bn retrans base that grinds higher. Blend the cycle and you get >$250mm of FCF to equity on a 2yr-avg basis. They took out $500mm of net debt in '24 alone, the maturities are termed out (notes ladder '29/'30/'31/'32 behind the TLs ‘28/’29), and there's no near-term wall. It would take a significant left-tail event to keep them from bridging to the catalyst. In the meantime you're clipping a ~50% FCF yield.

Spectrum optionality. The 2016 incentive auction is the proof of value: the FCC paid broadcasters $10.05bn to clear 84 MHz of low band, and - this is the part the market forgets - they didn't have to go dark to get paid. Of the winners, most stayed on air via channel-sharing or a move to a lower channel. Even GTN, a reluctant seller with a rural mix that everyone assumed was worth nothing, walked away with ~$90mm. The point is the asset monetizes, and it monetizes without shuttering the business that generates the BCF.

What's changed on the demand side. Two things. First, the OBBBA restored the FCC's general auction authority through '34, set an $85bn revenue bar, and mandated a pipeline of 800+ MHz - Washington now has both the tool and the fiscal motive to run another incentive auction for low band. Second, and more important, there's finally a motivated new buyer: SPCX is assembling spectrum (the SATS mid-band transfer, a prototype handset) and looks to be building toward a 4th network. A 4th carrier can't cover the country on mid-band alone - it needs sub-1GHz for propagation and building penetration, and the deepest pool of that sits in broadcast UHF at ~470-600 MHz. GTN is one of the few holders of a big, aggregatable low-band position outside the incumbents. Scarce asset, new bidder, restored auction - that's the setup you want to own ahead of. Gray is a 25% owner of EdgeBeam Wireless alongside Nexstar, Sinclair and Scripps, combining the four groups' spectrum footprints to approach nationwide ATSC 3.0 datacasting coverage no single broadcaster could achieve alone. The JV pegs its addressable markets at roughly $3.7 billion/year for automotive connectivity, $3.65 billion for content-delivery-network services, and $220 million for enhanced GPS. Even absent any outright sale, this demonstrates the spectrum has a cash-generating use — which both supports its intrinsic value and provides an interim monetization path while a bigger auction/sale event develops.

Sizing it. GTN reaches ~37% of TVHH - call it ~110-125mm POPs across its DMAs. Monetizing the equivalent of ~3-6 MHz per market at a blended ~$0.70-1.50/MHz-POP (vs. the ~$0.90 national avg in '16, discounted for GTN's small-market skew) gets you to ~$500mm on the low end and ~$1bn on the high end. The swing factor is the small-market mix - it caps per-POP pricing, and it's the main reason I don't underwrite marquee big-market numbers here. But a scarcity-driven auction with SPCX and the carriers bidding can re-rate small-market low band a lot higher than the skeptics assume.

Payoff. On 97mm shares, ~$500mm of spectrum value is ~+$5/sh - the stock roughly doubles to ~$9. $1bn is ~+$10/sh, or ~$14 (+260%). Apply the proceeds to debt and you also compress the leverage that's been capping the multiple, so there's a re-rate kicker on top of the raw asset value. Either way you're talking about a levered equity where the un-priced option is worth more than the entire current market cap.

RISKS

Timing. A low-band incentive auction needs Congress + FCC + a multi-year process.

Small-market mix. GTN's rural skew caps per-POP values.

Leverage cuts both ways. Same convexity that makes the upside work makes the downside a zero.

Use of proceeds. Mgmt has been a debt-paydown-first team, which is the right instinct here, but it's not guaranteed.

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Catalyst

Spectrum monetization (incentive auction and/or EdgeBeam/ATSC 3.0 ramp)

Deleveraging through political-cycle FCF

FCC dereg / cap relief driving optionality on swaps + reach

Messages

No messages